



OPERATORS LEADING CAPITAL

AN INVESTMENT FUND FOCUSED ON RECURRING CASH DISTRIBUTIONS

FUND 1 • \$200M

Private & Confidential

EXECUTIVE SUMMARY



OBJECTIVE

To acquire and rehabilitate under-optimized B2B software businesses, restore operating margin within four quarters, and begin distributing surplus cash to investors at an early stage.



DIFFERENTIATION

- Focus on operating cash generation rather than growth projections
- Targeting early and recurring LP distributions
- No reliance on financial leverage
- 100% ownership and centralized operational control



FUND OVERVIEW

- \$200M target fund size
- 10-year closed-end structure
- Operating cash funds up to 11 additional acquisitions
- DPI = 1 by Yr 5

ILLUSTRATIVE LP RETURNS

\$1.2B+

Fund Valuation

④ 4X REVENUE

23%

Net IRR

6.4

MOIC

1.0X

DPI in Yr 5

The strategy prioritizes capital preservation and cash generation over growth-led valuation expansion.

Disclaimer: Results are based on prior investments and turn-around performance projects. Prior performance is not a guarantee of the performance of any future fund. Results do not consider applicable taxes. Valuation is a projection and estimate based on current market valuation data and is not a commitment of future performance.

LEADERSHIP



TODD RAMSEY

Founding General Partner

Todd Ramsey is the Founding General Partner of Prytaneum Partners. With mor...



CHRIS MORINO

Founding General Partner

Chris Morino is the Founding General Partner of Prytaneum Partners. Chris's...



JEFF MOYER

Chief Information Officer

Jeff Moyer serves as Chief Information Officer at Prytaneum Partners. He brings...



SHANNON RAMSEY

Operating Partner

Shannon Ramsey serves as Operating Partner at Prytaneum Partners. She has...



JACKSON DICKFOS

Principal, Capital Formation

Jackson Dickfos serves as Principal, Capital Formation at Prytaneum Partners...



MARK SAMPSON

Senior Advisor

Mark Sampson serves as Senior Advisor at Prytaneum Partners. He brings deep...



IAN MILLER, MBE, CA

Senior Partner, Europe & Governance

Ian Miller serves as Senior Partner, Europe & Governance at Prytaneum Partners. He ...

[Click for full team bio's](#)

INVESTMENT STRATEGY

WHAT WE BUY

We buy durable, AI-resilient software—not growth stories. We assess each target on its future cash-flow potential, then implement our repeatable operating model to convert that potential into recurring, high-margin cash flow.

CRITERIA

- B2B software (SaaS or on-premise)
- \$10–40M Annual Recurring Revenue
- High gross retention (target ~90%+)
- Under-optimized or operationally inefficient
- Limited strategic buyer interest

EXCLUSIONS

- Venture-stage growth
- We don't absorb leverage
- Customer acquisition-dependent models
- Commodity software and task-based tools sensitive to AI-replacement

WHY WE BUY

REVENUE DURABILITY

- Software delivering impact to the Cx bottom line
- System of record proximity
- Recurring contracts
- Gross retention typically 85%–95%

IP DEFENSIBILITY

- Proprietary architecture
- Embedded enterprise workflows
- Regulatory or sector-specific complexity
- Patents where applicable

AI RESILIENCE ASSESSMENT

- Can the product be easily replaced by generative AI?
- Is the software mission-critical?
- Does it sit inside regulated or compliance workflows?

The margin recovery path is repeatable: We take advantage of clear cost misalignments and immediate cost reduction opportunities based on our operating model and a disciplined spend allocation.

MARKET OPPORTUNITY: WHY THIS STRATEGY NOW

The current environment creates a pricing and execution advantage for disciplined operators with centralized integration capability.

CAPITAL DISLOCATION

Private capital has concentrated on high-growth and AI-branded assets, reducing competition for under-optimized mid-market SaaS

INTEREST RATE ENVIRONMENT

Higher rates have increased debt servicing pressure and reduced refinancing options for sub-scale software businesses

CONSTRAINED BUYER UNIVERSE

Many under-optimized SaaS assets lack strategic buyers and fall below the scale threshold of larger PE firms.

UNDER- OPTIMIZED COST STRUCTURES

Legacy SaaS businesses often operate with venture-style cost bases inconsistent with recurring revenue profiles.

Unlike traditional buyout strategies that depend on leverage and exit multiples, our model is designed to recover capital from an existing customer base before valuation risk becomes material.

PROPRIETARY OPERATING SYSTEM: VALHROS

Valhros is the backbone of our full investment lifecycle.

INTELLIGENCE SYSTEM

- Search and identification of targets
- Pre-acquisition technical IP assessment
- Margin modelling and cost benchmarking
- Integration playbooks
- Ongoing financial monitoring
- Governance and audit logging

KEY VALUE

- Standardizes underwriting
- Reduces execution variance
- Embeds institutional memory
- Reduces key-person risk
- Speed to market - due diligence is completed in less than one hour - decisions can be made in less than a week

RISK ASSESSMENT

- IP defensibility
- Competitive replacement risk
- Exposure to AI substitution
- Reverse-engineering vulnerability

Built in-house: Valhros is operational NOW and compressing processing time from months-to-hours and weeks-to-minutes. **Every decision is informed by the sum-total of our corporate knowledge and experience in real-time.**

VALHROS OUTCOMES

- Decisions are **faster, more consistent, and repeatable across the portfolio**
- **Institutional knowledge is embedded, not person-dependent**
- **Diligence, execution, and operations are continuously linked, not siloed.**
- **Human operators remain accountable at every critical decision point**

Why this matters to LPs: Valhros enables rapid, consistent application of our operating framework across the portfolio.

LP Upside: Where appropriate, LPs may be given structured access to Valhros-enabled diligence outputs to support their own investment evaluation and portfolio oversight processes.

PORTFOLIO COMPANY REVIVAL: REVENUE TO CASH

FIRST 90 DAYS

- Zero-based budgeting
- Headcount and vendor reset
- Product rationalization
- Pricing discipline

STABILIZATION (Q2–4)

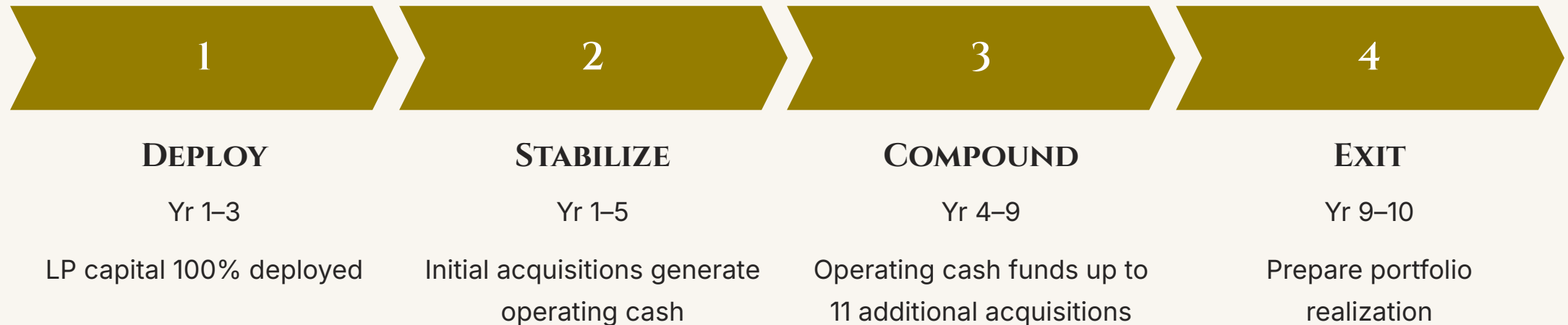
- Centralized shared services
- Net margin normalization to 50%+
- Operating discipline
- Value-based Product Roadmap

CASH HARVEST

- Operating cash flow surplus
- Surplus directed toward:
 - Additional acquisitions
 - Return of capital
 - Preferred return
 - Ongoing distributions

Why success is predictable: Durable revenue + operational reset + early capital recovery = a controlled risk-adjusted outcome.

FUND TIMELINE



The fund compounds value by stabilizing durable software revenue and systematically expanding the recurring revenue base.

ILLUSTRATIVE FUND-LEVEL PERFORMANCE

10-year Waterfall (USD \$'000s)										
	Deploy LP Capital			Compound					Package for Exit	
	1	2	3	4	5	6	7	8	9	10
LP Capital	100,000	100,000	0	0	0	0	0	0	0	0
Annual Recurring Revenue (ARR)	20,843	83,129	150,168	207,346	216,558	229,066	235,281	288,706	329,521	307,053
Operating Expenses	15,569	51,372	84,116	112,273	113,836	120,833	124,647	154,727	177,147	158,735
Fund Management Fees (2%)	417	1,663	4,000	4,000	4,000	4,000	4,000	4,000	4,000	4,000
Fund Level Ongoing Costs	700	735	772	810	851	893	938	985	1,034	1,086
Net Profit before tax	4,157	29,360	61,280	90,263	97,871	103,339	105,696	128,993	147,340	143,232
Self-Funded Acquisition Costs	0	0	0	36,000	18,000	28,000	66,000	56,000	38,000	0
LP Pref + Hurdle	0	22,000	43,400	52,519	75,775	68,375	0	0	0	0
Distributions	0	0	0	0	0	0	63,418	77,396	110,505	143,232
Fund Operating Cash	4,157	11,516	29,396	31,140	35,235	42,200	18,478	14,076	12,911	12,911
Exit Guidance										
Valuation 4x ARR	83,370	332,515	600,672	829,385	866,231	916,262	941,123	1,154,822	1,318,083	1,228,211
Portfolio Companies	2	5	8	10	11	12	14	16	17	17
Fund Level IRR	-	-	-	-	40%	38%	36%	36%	36%	35%
Fund Level Cash Return	-	-	-	-	5.7	6.5	7.2	8.9	10.4	10.7
DPI	0.0	0.1	0.3	0.6	1.0	1.3	1.6	2.0	2.6	7.8
TVPI	0.8	1.8	3.3	4.7	5.3	5.9	6.1	7.1	8.0	12.2

Portfolio valuation reflects the aggregation of recurring revenue across the platform, not dependence on terminal exit multiples.

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PROJECT EXAMPLES

Project	Technology Market	ARR	Deal Price (xARR)	Net Margin (Pre-Close)	Integration Result	Other Notes
Company A	Survey Platform	\$16M	0.88x	-3%	22% after 2Qs	Source code sale closed at post-close Q3
Company B	Marketing Advocacy	\$10M	0.79x	-17%	64% in 4Qs	Highly people dependent service replaced by AI
Company C	Telco OSS	\$17M	0.88x	-130%	54% in 5Qs	On plan performance
Company D	TelCo	\$15M	0.46x	-132%	75% in 6Qs	Source code sale at 1xARR
Company E	TelCo CPQ	\$37M	1.27x	2%	16% in 1Q	

Detailed case studies are available in the [Case Studies & Track Record package](#).

STRUCTURAL RETURN ENHANCEMENTS

I. Economic Alignment & Capital Efficiency

Operating Cash–Funded Efficiency

- Management fees supported by portfolio operating cash over time
- Reduces net capital drag and improves capital efficiency
- Capital recovery driven by cash generation, not exit timing

Self-Funded Portfolio Expansion

- Later-stage acquisitions funded from stabilized portfolio cash flow
- Reduces incremental LP capital requirements
- Enhances capital efficiency per invested dollar

Defined Capital Allocation Discipline

- Operating cash prioritized for capital return and preferred return
- Reinvestment capped under fund policy

Conservative Valuation Framework

- Portfolio valued at 1:1 ARR (no forward projections or multiple expansion)
- Avoids reliance on terminal multiple assumptions
- Provides LP-aligned valuation transparency

A proven operating model, structured from inception with embedded LP economic alignment and conservative valuation discipline.

STRUCTURAL RETURN ENHANCEMENTS

II. Incremental Value Drivers (Not Underwritten in Base Case)

Selective IP / Source Code Monetization

- Sale of portfolio company IP (source code) to strategic buyers where appropriate
- Converts embedded IP into incremental cash
- Not assumed in base-case financial projections

Strategic Portfolio Exit Optionality

- Aggregated, un-leveraged, and high-margin platform may command premium earnings valuation
- An early exit scenario is pursued opportunistically, not as a return dependency

The base case is driven by operating cash; incremental value drivers are selectively realized within a deliberately LP-aligned Fund I structure.

RISK FACTORS & MITIGATION

REVENUE ATTRITION

- Focus on high-retention assets
- Early pricing and cost reset
- Intensive retention strategies

INTEGRATION RISK

- Centralized playbook
- Repeatable integration model
- Strict spend allocation

AI DISRUPTION

- Focus on mission-critical, embedded, workflow-dependent software with high switching cost.
- Exclude easily commoditized software
- Software development operates at the leading edge of AI adoption

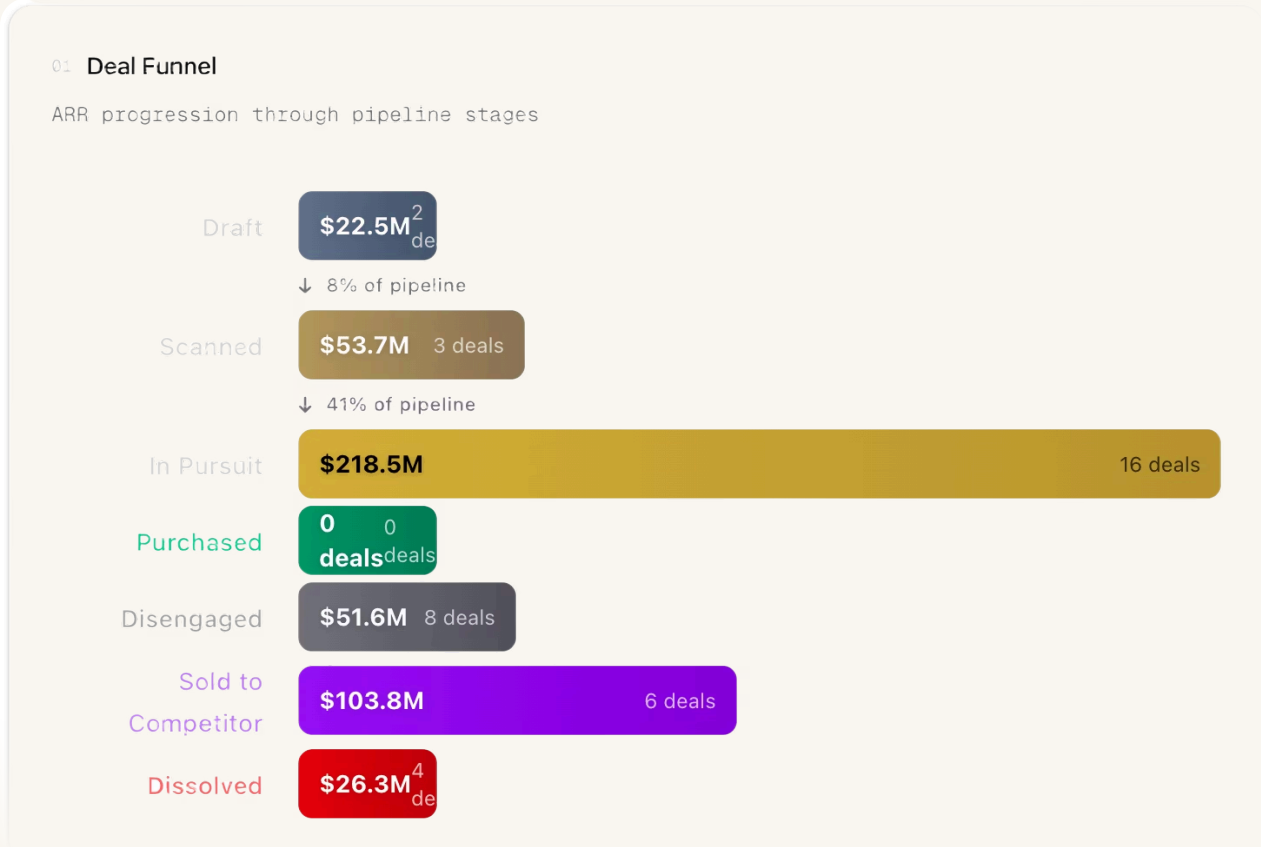
REGULATORY & STRUCTURAL

- BVI governance
- Third-party administrator
- Independent counsel

Risk oversight is formalized through a structured risk register reviewed monthly at the portfolio and fund level.

PORTFOLIO COMPANY DEAL PIPELINE

Deal funnel from March 1, 2026 to April 12, 2026



- Valhros monitors over 200,000 software companies daily.
- 148 distress signals trigger automated assessment, with qualified targets advanced into the deal pipeline.
- Speed of identification is critical as under-optimized companies move quickly to disposition.
- A targeted outreach to investment and commercial banks, brokers, and VC funds approaching term-end will commence upon fund close.

Market conditions are ideal for our strategy: stiff fund-raising headwinds, capital concentrated on AI-branding, stranded software assets. Currently, we have identified 77 companies that qualify for our mandate, ready for due diligence.



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PRESENTATION APPENDIX

- TRACK RECORD
- CASE STUDIES
- DEAL PIPELINE

TRACK RECORD

Project	Technology Market	ARR	Deal Price (xARR)	Net Margin (Pre-Close)	Integration Result	Other Notes
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CASE STUDY COMPANY A

PRE-CLOSE CONDITIONS

- \$16M Annual Recurring Revenue (ARR)
- -3% net margin
- \$10M+ debt
- 10% ownership share by largest customer
- 2 distinct products with unrealized & underfunded strategic roadmap
- Dedicated white -glove 13 person service team at \$1.5M annual cost offsetting R&D failure
- 2-year engineering service request (ESR) backlog

POST-CLOSE Q1

16% Net Margin

- Product roadmap reset
- Knowledge transfer complete, all functions
- People transitions complete
- Customers offered long term flat renewals. Advised Price increase pending

POST-CLOSE Q2

22% Net Margin

- Terminate final real estate obligation
- Source code sale to top customer deal initiated: one-time revenue
- Net margin on-plan

Q2 POST-CLOSE FINANCIAL HIGHLIGHTS

Entry Multiple: 0.88% ARR

Net margin improvement: -3% → 22%

ARR: ~96% retention

Key Findings

- Time to Stabilization: Incomplete - on plan for 2Q - end of Trilogy tenure for Founder
- Operating Model Replicable: Yes
- AI Risk Exposure: Med - marketing function exposed to AI automation; customer AI adoption low due to distrust
- QoE adjustments equal to \$1.4M discount on entry price

This example reflects the Fund’s core model in practice: disciplined acquisition, rapid operational reset, and capital recovery driven by operating cash rather than financial engineering.

CASE STUDY COMPANY B

PRE-CLOSE CONDITIONS

- \$11M Annual Recurring Revenue (ARR)
- -17% net margin
- 2 distinct products without a coherent strategic roadmap
- Dedicated white -glove 13 person service team at \$1.5M annual cost offsetting R&D failure
- 2-year engineering service request (ESR) backlog

POST-CLOSE Q1

6% Net Margin

- Product roadmap reset
- Knowledge transfer complete, all functions
- AI Support and Customer Success GPTs released
- Net margin on plan

POST-CLOSE Q2

56% Net Margin

- White-glove service re-designed with AI
- ESR catch-up plan launched
- Initial customer contacts complete
- People transitions complete
- Net margin on-plan

POST-CLOSE Q3

56% Net Margin

- ESR backlog reduced
- Retention programs implemented
- Net margin on-plan

POST-CLOSE Q4

64% Net Margin

- Post close Q5 forecasted net margin at 75%
- Net margin on-plan

Q1 POST-CLOSE FINANCIAL HIGHLIGHTS

- COGS: 80% reduction
- SG&A: 13% reduction
- OPEX: 70% reduction

Q4 POST-CLOSE FINANCIAL HIGHLIGHTS

- Entry Multiple: 0.79x ARR
- Net margin improvement: -17% → 64%
- ARR: 93% to plan

Key Findings

- Time to Stabilization: 4 quarters
- Operating Model Replicable: Yes
- AI Risk Exposure: High - marketing function exposed to AI automation

This example reflects the Fund’s core model in practice: disciplined acquisition, rapid operational reset, and capital recovery driven by operating cash rather than financial engineering.

CASE STUDY COMPANY C

PRE-CLOSE CONDITIONS

- \$15M Annual Recurring Revenue (ARR)
- -130% net margin. Large discounts subsidizing seller's core business.
- 9 distinct products without a coherent strategic roadmap. 683 staff across 3 Indian and 1 UAE city.
- Little automation and many layers of management holding company together with 'human glue'
- Large new logo sales team. No new logos in 3 years. Sales cycle extended and bonuses paid regardless of results (paid on parent results).

POST-CLOSE Q1

-26% Net Margin

- Staff reduced to 334
- Knowledge transfer underway
- Standard procedures, AI enhanced rolled out
- Closed offices
- Net margin on plan

POST-CLOSE Q2

34% Net Margin

- Knowledge transfer complete, all functions
- Staff reduced to 198
- Initial customer contacts complete with CEO /CRO
- Customers offered long term flat renewals. Advised Price increase coming.
- Net margin on-plan

POST-CLOSE Q3

65% Net Margin

- Price adjustment rolled out.
- Staff reduced to 133
- Consolidated technical infrastructure
- Multi-lingual Voice based AI Customer Success Agent (Skye) rolled out.
- Net margin ahead of plan

POST-CLOSE Q4

51% Net Margin

- Post close Q5 forecasted net margin at 54%
- Staff at 123
- Reinvest in product based on information gained by Skye and executive visits
- Net margin on-plan

Q1 POST-CLOSE FINANCIAL HIGHLIGHTS

- COGS: 84% reduction
- SG&A: 90% reduction
- OPEX: 62% reduction

Q4 POST-CLOSE FINANCIAL HIGHLIGHTS

- Entry Multiple: 0.88x ARR
- Net margin improvement: -130% → 51%
 - (54% in Q5)
- ARR: 89% to plan (forecast was 85%)

Key Findings

- Time to Stabilization: 4 quarters. Time to optimal return 6 quarters (after Q5 Product investment)
- Operating Model Replicable: Yes
- AI Risk Exposure: High - regulated industry requires strict guardrails
- Commercialization of code and IP: Licensing of code in year three for \$15M all cash deal.

This example reflects the Fund’s core model in practice: disciplined acquisition, rapid operational reset, and capital recovery driven by operating cash rather than financial engineering.

THE FINE PRINT

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Ontario

Section 130.1 of the Securities Act (Ontario) (the “Ontario Act”) provides that every purchaser of securities pursuant to an offering memorandum shall have a statutory right of action for damages or rescission against the issuer and any selling security holder in the event that the offering memorandum contains a misrepresentation. A purchaser who purchases securities offered by the offering memorandum during the period of distribution has, without regard to whether the purchaser relied upon the misrepresentation, a right of action for damages or, alternatively, while still the owner of the securities, for rescission against the issuer and any selling security holder provided that:

(a) if the purchaser exercises its right of rescission, it shall cease to have a right of action for damages as against the issuer and the selling security holders, if any;

(b) the issuer and the selling security holders, if any, will not be liable if it proves that the purchaser purchased the securities with knowledge of the misrepresentation;

(c) the issuer and the selling security holders, if any, will not be liable for all or any portion of damages that it proves do not represent the depreciation in value of the securities as a result of the misrepresentation relied upon;

(d) the issuer and the selling security holders, if any, will not be liable for a misrepresentation in “forward looking information” (“FLI”), as such term is defined under applicable Canadian securities laws, if it proves that: (i) the offering memorandum contains, proximate to the FLI, reasonable cautionary language identifying the FLI as such, and identifying material factors that could cause actual results to differ materially from a conclusion, forecast or projection set out in the FLI, and a statement of material factors or assumptions that were applied in drawing a conclusion or making a forecast or projection set out in the FLI; and (ii) the issuer had a reasonable basis for drawing the conclusions or making the forecasts and projections set out in the FLI; and

(e) in no case shall the amount recoverable exceed the price at which the securities were offered.

Section 138 of the Ontario Act provides that no action shall be commenced to enforce these rights more than:

(a) in the case of an action for rescission, 180 days after the date of the transaction that gave rise to the cause of action; or

(b) in the case of an action for damages, the earlier of: (i) 180 days after the date that the purchaser first had knowledge of the facts giving rise to the cause of action; or (ii) three years after the date of the transaction that gave rise to the cause of action.

The rights referred to in section 130.1 of the Ontario Act do not apply in respect of an offering memorandum delivered to a prospective purchaser in connection with a distribution made in reliance on the accredited investor exemption if the prospective purchaser is (a) a Canadian financial institution or a Schedule III bank (each as defined in NI 45-106); (b) the Business Development Bank of Canada incorporated under the Business Development Bank of Canada Act (Canada); or (c) a subsidiary of any person referred to in paragraphs (a) and (b), if the person owns all of the voting securities of the subsidiary, except the voting securities required by law to be owned by directors of that subsidiary.